Management

⊛ Management in Organizations

Planning and decision making
- setting the organizations goals and deciding

organizing

controlling

Leading

[Vision, Mission, Goals, Objectives and strategic Planning Hierarchy]

(Financial organization perespective)

Introduction:-

Every organization operates through a planned direction. A financial institution such as bank, insurance company can't operate successfully without defining.

Firm assignment :-

1) Services, Defination, characteristics, Examples in a financial institution,

2) **Vision**

A vision statement describes the desired future position of the organization. It expresses the organization's dream and long term aspiration.

3) **Mission Statement :-**

(Why we exist)

It explains,

" what the organization does → whom it serves → and how it creates value."

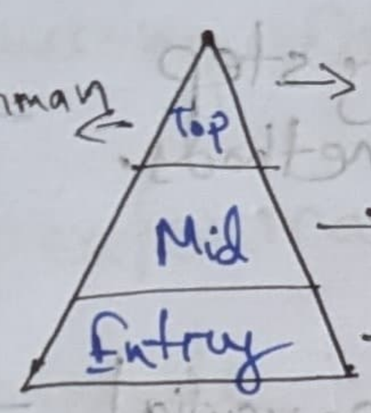
Purpose :-

(i) Guides day to day decisions.

(ii) Defines organizational scopes.

(iii) Clarifies business activities.

Every organization got 3 levels :—



→ strategical (To be competitive in market)

→ Tactical

→ Operational.

Porter's strategic theory

- Cost leadership (standardized)
- Differentiation. (customized)
- Focus. (focused targeted service)

⑦ ⊛ **Policy** :-

→ Policies are broad guidelines that direct managerial decision making.

⑧ ⊛ **Procedures and Rules** :-

(How activities Must be performed)

→ Step by step methods for carrying out procedures.

Vision		Mission
Future oriented	→	Present oriented.
Describes destination	→	Describes purpose
Inspirational	→	Operational
Long term	→	Medium term.
"where do we want to go"	→	"why do we exist"

4) ⊛ Strategic Goals :-

Goals are broad qualitative outcomes derived to achieve.

5) ⊛ Smart Objectives :-

Objectives are specific, measurable, achievable, relevant, time bound targets designed to accomplish organizational goals.

SME- Small and Medium Enterprise.

Goals	Objectives.
Broad	Specific
Qualitative	Quantitative
Long term	Short / medium term.
Difficult to measure	Easily measurable.
Provide	Provide measurable goals.

⑥ Strategies

"How we will Achieve objectives"

→ A strategy is a comprehensive long term plan designed to achieve organizational objectives and gain a competitive advantage.

→ Long term orientation

→ Resource allocation

→ Competitive focus.

Policies	Procedures	Rules
General guidelines →	Step by step methods. →	Strict instructions.
Flexible →	Sequential →	Mandatory
Guide decisions →	Guide actions →	Enforce behaviour.

(9) (*) Programs / Tactics / Action plans

"Short term operational activities"

→ Programs and tactics are detailed short term activities designed to implement strategies.

(10) Budget and resource Allocation

"Financial support for plans"

→ A budget is a financial plan allocating resources to organizational activities.

(11) ⊛ KPIs ~~in~~ and Performance Measurement.

(Measuring Organizational Success)

→ key performance Indicators (KPIs) are measurable indicators used to evaluate organizational performance.

→ Return of assests (ROA)

→ Return on equity. (ROE)

→ Detect problems.

(12) Review